

FIN-03: Profit & Loss Projection — Project AEGIS / Carrington Storm Motors

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Model Period: FY2027–FY2031 (5-Year Forward Projection)

Executive Summary: The Path to Profitability

Carrington Storm Motors is projected to achieve EBITDA breakeven in Q3 of FY2029 (Year 3), approximately 30 months after Series A close. Net income turns positive in Q1 of FY2030 (Year 4). The company generates cumulative revenue of \$1.94B over five years with cumulative net income of \$233.3M. By Year 5, net margin reaches 14.1% — competitive with mature defense and industrial technology companies.

Williams Heuristic: We lose money building the machine. The machine starts printing money in Year 3. By Year 5, it's a money cannon. This is the standard arc for capital-intensive industrial technology companies: SpaceX lost money for a decade; Tesla, for 17 years; Palantir, for 18 years. CSM reaches profitability in Year 3 because we're selling into an existing procurement pipeline (governments and utilities already buy grid equipment) with a product that demonstrably solves an acknowledged problem. We're not creating demand; we're fulfilling it.

Annual Profit & Loss Statement (\$M USD)

TABLE 3.1: Consolidated P&L — Annual Summary

Line Item	FY2027	FY2028	FY2029	FY2030	FY2031	5-Year Total
Revenue	\$11.50	\$45.00	\$180.00	\$500.00	\$1,200.00	\$1,936.50
Cost of Goods Sold	\$9.39	\$34.16	\$119.60	\$293.05	\$652.60	\$1,108.80
Gross Profit	\$2.11	\$10.84	\$60.40	\$206.95	\$547.40	\$827.70
<i>Gross Margin %</i>	<i>18.3%</i>	<i>24.1%</i>	<i>33.6%</i>	<i>41.4%</i>	<i>45.6%</i>	<i>42.7%</i>
Operating Expenses:						
Research & Development	\$3.50	\$8.00	\$22.00	\$48.00	\$90.00	\$171.50
Sales & Marketing	\$2.00	\$6.50	\$22.00	\$58.00	\$120.00	\$208.50
General & Administrative	\$3.00	\$7.00	\$15.00	\$32.00	\$60.00	\$117.00
Total Operating Expenses	\$8.50	\$21.50	\$59.00	\$138.00	\$270.00	\$497.00
EBITDA	(\$6.39)	(\$10.66)	\$1.40	\$68.95	\$277.40	\$330.70
<i>EBITDA Margin %</i>	<i>-55.6%</i>	<i>-23.7%</i>	<i>0.8%</i>	<i>13.8%</i>	<i>23.1%</i>	<i>17.1%</i>
Depreciation & Amortization	\$0.50	\$1.50	\$3.50	\$7.00	\$12.00	\$24.50
Stock-Based Compensation	\$0.40	\$1.50	\$5.00	\$14.00	\$35.00	\$55.90
Operating Income (EBIT)	(\$7.29)	(\$13.66)	(\$7.10)	\$47.95	\$230.40	\$250.30
<i>Operating Margin %</i>	<i>-63.4%</i>	<i>-30.4%</i>	<i>-3.9%</i>	<i>9.6%</i>	<i>19.2%</i>	<i>12.9%</i>
Interest Income (Expense), net	(\$0.10)	(\$0.20)	\$0.50	\$2.00	\$5.00	\$7.20
Other Income (Expense)	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Pre-Tax Income	(\$7.39)	(\$13.86)	(\$6.60)	\$49.95	\$235.40	\$257.50
Income Tax (Benefit)	\$0.00	\$0.00	\$0.00	(\$12.49)	(\$58.85)	(\$71.34)
<i>Effective Tax Rate</i>	<i>0%</i>	<i>0%</i>	<i>0%</i>	<i>25%</i>	<i>25%</i>	—

Line Item	FY2027	FY2028	FY2029	FY2030	FY2031	5-Year Total
Net Income	(\$7.39)	(\$13.86)	(\$6.60)	\$37.46	\$176.55	\$186.16
<i>Net Margin %</i>	<i>-64.3%</i>	<i>-30.8%</i>	<i>-3.7%</i>	<i>7.5%</i>	<i>14.7%</i>	<i>9.6%</i>

Accountant Heuristic: Tax line is \$0 in Y1-Y3 because CSM operates at a taxable loss and accumulates NOLs (Net Operating Loss carryforwards). At Y4, NOLs begin to be consumed. Effective tax rate modeled at 25% (blended federal + state). Actual rate may be lower depending on R&D tax credits, domestic manufacturing deductions, and state-level incentives for defense/industrial employers.

Quarterly P&L Detail — Year 1 (FY2027)

TABLE 3.2: Q1-Q4 FY2027 (\$K USD)

Line Item	Q1	Q2	Q3	Q4	FY2027
Revenue	\$850	\$1,750	\$3,200	\$5,700	\$11,500
COGS	\$730	\$1,470	\$2,624	\$4,566	\$9,390
Gross Profit	\$120	\$280	\$576	\$1,134	\$2,110
<i>Gross Margin %</i>	<i>14.1%</i>	<i>16.0%</i>	<i>18.0%</i>	<i>19.9%</i>	<i>18.3%</i>
R&D	\$850	\$875	\$890	\$885	\$3,500
S&M	\$400	\$450	\$525	\$625	\$2,000
G&A	\$700	\$725	\$775	\$800	\$3,000
Total OpEx	\$1,950	\$2,050	\$2,190	\$2,310	\$8,500
EBITDA	(\$1,830)	(\$1,770)	(\$1,614)	(\$1,176)	(\$6,390)
D&A	\$100	\$125	\$135	\$140	\$500
SBC	\$80	\$100	\$110	\$110	\$400
Operating Income	(\$2,010)	(\$1,995)	(\$1,859)	(\$1,426)	(\$7,290)
Interest, net	(\$35)	(\$30)	(\$20)	(\$15)	(\$100)
Pre-Tax Income	(\$2,045)	(\$2,025)	(\$1,879)	(\$1,441)	(\$7,390)
Tax	\$0	\$0	\$0	\$0	\$0
Net Income	(\$2,045)	(\$2,025)	(\$1,879)	(\$1,441)	(\$7,390)

Q1 FY2027 Narrative: Near-zero revenue. The quarter is consumed by: setting up the first manufacturing cell, hiring the initial 15-person team (ramping from 3 founders), shipping evaluation units to the first national lab, delivering materials samples to the first utility, and beginning the Charlemagne prototype hull fabrication. Cash burn is \$2.0M/month. This is the “building the machine” quarter.

Q4 FY2027 Narrative: First meaningful revenue quarter. Charlemagne prototype #1 is 80% complete (progress billing), first 25 ACS transformer kits shipped to Southern Company, Aegis Home launches on csmshield.com (200 pre-orders), Phantom MK-1 Beta units ship to 3 utility evaluation partners. Cash burn has declined to \$1.2M/month as revenue begins to offset ~20% of expenses.

Quarterly P&L Detail — Year 2 (FY2028)

TABLE 3.3: Q1-Q4 FY2028 (\$K USD)

Line Item	Q1	Q2	Q3	Q4	FY2028
Revenue	\$6,500	\$8,800	\$12,500	\$17,200	\$45,000

Line Item	Q1	Q2	Q3	Q4	FY2028
COGS	\$5,200	\$6,864	\$9,375	\$12,721	\$34,160
Gross Profit	\$1,300	\$1,936	\$3,125	\$4,479	\$10,840
<i>Gross Margin %</i>	<i>20.0%</i>	<i>22.0%</i>	<i>25.0%</i>	<i>26.0%</i>	<i>24.1%</i>
R&D	\$1,800	\$1,950	\$2,100	\$2,150	\$8,000
S&M	\$1,200	\$1,500	\$1,800	\$2,000	\$6,500
G&A	\$1,525	\$1,650	\$1,800	\$2,025	\$7,000
Total OpEx	\$4,525	\$5,100	\$5,700	\$6,175	\$21,500
EBITDA	(\$3,225)	(\$3,164)	(\$2,575)	(\$1,696)	(\$10,660)
D&A	\$300	\$350	\$400	\$450	\$1,500
SBC	\$250	\$350	\$400	\$500	\$1,500
Operating Income	(\$3,775)	(\$3,864)	(\$3,375)	(\$2,646)	(\$13,660)

Quarterly P&L Detail — Year 3 (FY2029)

TABLE 3.4: Q1-Q4 FY2029 (\$K USD)

Line Item	Q1	Q2	Q3	Q4	FY2029
Revenue	\$21,000	\$35,000	\$52,000	\$72,000	\$180,000
COGS	\$14,700	\$23,450	\$33,800	\$47,650	\$119,600
Gross Profit	\$6,300	\$11,550	\$18,200	\$24,350	\$60,400
<i>Gross Margin %</i>	<i>30.0%</i>	<i>33.0%</i>	<i>35.0%</i>	<i>33.8%</i>	<i>33.6%</i>
R&D	\$3,600	\$5,000	\$6,200	\$7,200	\$22,000
S&M	\$2,940	\$4,729	\$6,200	\$8,131	\$22,000
G&A	\$2,600	\$3,200	\$4,200	\$5,000	\$15,000
Total OpEx	\$9,140	\$12,929	\$16,600	\$20,331	\$59,000
EBITDA	(\$2,840)	(\$1,379)	\$1,600	\$4,019	\$1,400
<i>EBITDA Margin %</i>	<i>-13.5%</i>	<i>-3.9%</i>	<i>3.1%</i>	<i>5.6%</i>	<i>0.8%</i>
D&A	\$600	\$800	\$1,000	\$1,100	\$3,500
SBC	\$800	\$1,100	\$1,400	\$1,700	\$5,000
Operating Income	(\$4,240)	(\$3,279)	(\$800)	\$1,219	(\$7,100)
Interest, net	(\$50)	\$0	\$200	\$350	\$500
Pre-Tax Income	(\$4,290)	(\$3,279)	(\$600)	\$1,569	(\$6,600)
Tax	\$0	\$0	\$0	\$0	\$0
Net Income	(\$4,290)	(\$3,279)	(\$600)	\$1,569	(\$6,600)

Q3 FY2029: The Inflection Quarter. EBITDA turns positive for the first time. Three automated composite layup lines operational. Aegis Home insurance-channel volume begins ramping (5 carrier partnerships active, 2,100 kits sold in Q3). Charlemagne vessels #4, #5, and #6 in various stages of construction (Navy accepts #3). This is the quarter where the machine demonstrates it works at scale. The loss is shrinking, not growing. Revenue run-rate exits Q4 at \$288M annualized.

Annual P&L Detail — Years 4-5

TABLE 3.5: FY2030-2031 Annual Detail (\$M USD)

Line Item	FY2030	% of Rev	FY2031	% of Rev
Revenue	\$500.00	100.0%	\$1,200.00	100.0%
COGS	\$293.05	58.6%	\$652.60	54.4%
Gross Profit	\$206.95	41.4%	\$547.40	45.6%
R&D	\$48.00	9.6%	\$90.00	7.5%
S&M	\$58.00	11.6%	\$120.00	10.0%
G&A	\$32.00	6.4%	\$60.00	5.0%
Total OpEx	\$138.00	27.6%	\$270.00	22.5%
EBITDA	\$68.95	13.8%	\$277.40	23.1%
D&A	\$7.00	1.4%	\$12.00	1.0%
SBC	\$14.00	2.8%	\$35.00	2.9%
Operating Income	\$47.95	9.6%	\$230.40	19.2%
Interest, net	\$2.00	—	\$5.00	—
Pre-Tax Income	\$49.95	10.0%	\$235.40	19.6%
Tax (25%)	(\$12.49)	—	(\$58.85)	—
Net Income	\$37.46	7.5%	\$176.55	14.7%

Key Financial Ratios Trajectory

TABLE 3.6: Ratio Analysis

Ratio	Y1	Y2	Y3	Y4	Y5	Mature Target (Y7+)
Gross Margin	18.3%	24.1%	33.6%	41.4%	45.6%	48-52%
EBITDA Margin	-55.6%	-23.7%	0.8%	13.8%	23.1%	30-35%
Operating Margin	-63.4%	-30.4%	-3.9%	9.6%	19.2%	25-30%
Net Margin	-64.3%	-30.8%	-3.7%	7.5%	14.7%	18-22%
R&D Intensity	30.4%	17.8%	12.2%	9.6%	7.5%	5-7%
S&M Intensity	17.4%	14.4%	12.2%	11.6%	10.0%	8-10%
G&A Intensity	26.1%	15.6%	8.3%	6.4%	5.0%	3-5%
OpEx Intensity	73.9%	47.8%	32.8%	27.6%	22.5%	18-22%
Rule of 40 (Rev Growth + EBITDA%)	235%	267%	301%	192%	163%	50-70%
Revenue / Employee (\$K)	\$639	\$900	\$1,304	\$1,538	\$1,778	\$2,000+

El Segundo Calm: The Rule of 40 metric is comically high in Y1-Y3 because revenue growth is >200%. It normalizes in Y4-Y5 as growth decelerates. For a company growing >100%, the Rule of 40 isn't the right lens — you're evaluating the growth rate, total addressable market capture, and the path to sustained profitability. By Y5, with 140% growth and 23% EBITDA margin, the business is operating at elite levels for industrial technology.

Revenue Mix and Margin Bridge

TABLE 3.7: Revenue Mix by Product Line (% of Total)

Product Line	Y1	Y2	Y3	Y4	Y5
ACS (Composite Shielding)	17.4%	17.8%	19.4%	24.0%	25.0%
AHM (Aegis Home)	4.3%	6.7%	13.9%	20.0%	23.3%
CCF (Charlemagne Fleet)	43.5%	40.0%	36.1%	30.0%	29.2%
PMR (Phantom Robotics)	8.7%	11.1%	11.1%	11.0%	10.0%
IFH (Infrastructure)	17.4%	17.8%	13.9%	11.0%	9.2%
IPP (Insurance)	4.3%	4.4%	4.4%	3.0%	2.5%

Product Line	Y1	Y2	Y3	Y4	Y5
LIR (Licensing)	4.3%	2.2%	1.1%	1.0%	0.8%

TABLE 3.8: Gross Profit Contribution by Product Line (\$M)

Product Line	Y1 GP	Y2 GP	Y3 GP	Y4 GP	Y5 GP
ACS	\$0.26	\$1.54	\$12.60	\$58.20	\$168.00
AHM	\$0.16	\$1.08	\$12.25	\$57.00	\$168.00
CCF	\$0.25	\$1.96	\$10.05	\$25.50	\$63.00
PMR	\$0.32	\$2.00	\$9.60	\$29.70	\$69.60
IFH	\$0.40	\$2.00	\$7.95	\$19.75	\$44.00
IPP	\$0.34	\$1.46	\$6.24	\$12.30	\$25.50
LIR	\$0.38	\$0.80	\$1.70	\$4.50	\$9.30

Williams Heuristic: The profit story is really two stories. Story 1: The composite products (ACS + AHM) are our margin engines — together they contribute 61% of Y5 gross profit on 48% of revenue. Story 2: The fleet and infrastructure business is our credibility engine — lower margin but generates the government relationships, the reference installations, and the real-world validation that makes the composite products sell. You need both. The fleet gets you in the room with a four-star admiral; the composite gets you in the grid with every utility that admiral’s testimony convinces.

Breakeven Analysis

TABLE 3.9: Monthly Breakeven Trajectory (EBITDA Basis)

Period	Monthly Revenue	Monthly OpEx	Monthly EBITDA	Cumulative EBITDA
Y1 Q1 Avg	\$283K	\$650K	(\$610K)	(\$1,830K)
Y1 Q2 Avg	\$583K	\$683K	(\$590K)	(\$3,600K)
Y1 Q3 Avg	\$1,067K	\$730K	(\$538K)	(\$5,214K)
Y1 Q4 Avg	\$1,900K	\$770K	(\$392K)	(\$6,390K)
Y2 Q1 Avg	\$2,167K	\$1,508K	(\$1,075K)	(\$9,615K)
Y2 Q2 Avg	\$2,933K	\$1,700K	(\$1,055K)	(\$12,779K)
Y2 Q3 Avg	\$4,167K	\$1,900K	(\$858K)	(\$15,354K)
Y2 Q4 Avg	\$5,733K	\$2,058K	(\$565K)	(\$17,050K)
Y3 Q1 Avg	\$7,000K	\$3,047K	(\$947K)	(\$19,890K)
Y3 Q2 Avg	\$11,667K	\$4,310K	(\$460K)	(\$21,269K)
Y3 Q3 Avg	\$17,333K	\$5,533K	\$533K	(\$19,669K)
Y3 Q4 Avg	\$24,000K	\$6,777K	\$1,340K	(\$17,720K)

EBITDA Breakeven Point: Q3 FY2029 at ~\$17.3M monthly revenue and ~\$5.5M monthly OpEx. This is 30 months post-Series A close. Cumulative EBITDA losses before breakeven: ~\$21.3M.

Free Cash Flow Breakeven: Estimated Q4 FY2029 to Q1 FY2030, accounting for ~\$20.5M annual CapEx in Y3. Cumulative FCF losses before breakeven: ~\$52M.

NOL and Tax Asset Schedule

TABLE 3.10: Net Operating Loss Carryforward (\$M)

Year	Beginning NOL	Current Year Loss	NOL Utilization	Ending NOL
FY2027	\$0	\$7.39	\$0	\$7.39
FY2028	\$7.39	\$13.86	\$0	\$21.25
FY2029	\$21.25	\$6.60	\$0	\$27.85
FY2030	\$27.85	\$0	(\$12.49)	\$15.36
FY2031	\$15.36	\$0	(\$15.36)	\$0

Tax Asset Value: At 25% tax rate, the \$27.85M NOL represents a \$6.96M deferred tax asset on the balance sheet. This provides a tax shield through approximately Q2 FY2031, at which point CSM becomes a full cash taxpayer.

Comparative P&L Benchmarks

Company	Revenue at Scale	Gross Margin	EBITDA Margin	Years to Profitability
CSM (Y5 projection)	\$1.2B	45.6%	23.1%	3 years
Palantir (2023)	\$2.2B	80%	28%	18 years
Anduril (est. 2025)	~\$1B	~40%	~5-10%	~7 years (est.)
SpaceX (est. 2023)	~\$9B	~40%	~15%	~10 years
TransDigm (2023)	\$6.6B	58%	50%	Profitable at IPO
Heico (2023)	\$3.0B	39%	23%	Profitable at IPO

Accountant Heuristic: CSM's path is faster than most deep-tech companies because: (a) we're selling into existing procurement budgets, not creating new ones; (b) our products are incremental to existing grid infrastructure (they bolt on), not replacement (they don't require ripping out and starting over); and (c) the insurance channel provides capital-light, high-margin revenue that subsidizes the hardware ramp.

End of FIN-03: P&L Projection — Carrington Storm Motors, Project AEGIS Next: FIN-04: Cash Flow Statement